

To write about what was happening, I wanted to figure out what was happening. But the first thing I learned after the financial crisis was that no one could accurately explain what happened, or why it happened, let alone what should be done about it. For every good explanation there was an equally convincing rebuttal.

Engineers can determine the cause of a bridge collapse because there's agreement that if a certain amount of force is applied to a certain area, that area will break. Physics isn't controversial. It's guided by laws. Finance is different. It's guided by people's behaviors. And how I behave might make sense to me but look crazy to you.

The more I studied and wrote about the financial crisis, the more I realized that you could understand it better through the lenses of psychology and history, not finance.

To grasp why people bury themselves in debt you don't need to study interest rates; you need to study the history of greed, insecurity, and optimism. To get why investors sell out at the bottom of a bear market you don't need to study the math of expected future returns; you need to think about the agony of looking at your family and wondering if your investments are imperiling their future.

I love Voltaire's observation that "History never repeats itself; man always does." It applies so well to how we behave with money.

In 2018, I wrote a report outlining 20 of the most important flaws, biases, and causes of bad behavior I've seen affect people when dealing with money. It was called *The Psychology of Money*, and over one million people have read it. This book is a deeper dive into the topic. Some short passages from the report appear unaltered in this book.

What you're holding is 20 chapters, each describing what I consider to be the most important and often counterintuitive features of the psychology of money. The chapters revolve around a common theme, but exist on their own and can be read independently.

It's not a long book. You're welcome. Most readers don't finish the books they begin because most single topics don't require 300 pages of explanation. I'd rather make 20 short points you finish than one long one you give up on.